APPLICABLE TAX RATES

Tax Tables

Segment of income per annum (ZWL)	Amount (ZWL)	Rate within segment (%)	Tax	Cumulative tax
Up to 1,100,000	1,100,000	0%		0
1,100,001 to 3,840,000	3,840,000	20%	768,000	768,000
3,840,001 to 6,576,000	6,576,000	25%	1,644,000	2,412,000
6,576,001 to 9,312,000	9,312,000	30%	2,793,600	5,205,600
9,312,001 to 12,000,000	12,000,000	35%	4,200,000	9,405,600
12,000,001 and above		40%		
Segment of income per annum (USD)	Amount (USD)	Rate within segment (%)	Tax	Cumulative tax
Up to 1,200	1,200	0%		0
1,201 to 3,600	3,600	20%	720	720
3,601 to 12,000	12,000	25%	3,000	3,720
12,001 to 24,000	24,000	30%	7,200	10,920
24,001 to 36,000	36,000	35%	12,600	23,520
36,001 and above		40%		

Motoring Benefits (Income Tax Act Section 8(1)(f)(xi)

Engine Capacity	USD$ Deemed Value per Annum 2023	ZWL$ Deemed Value per Annum 2023
Up to 1,500cc	625	312,500
Over 1,500cc – 2,000cc	830	415,000
Over 2,000cc – 3,000cc	1,250	625,000
Over 3,000cc	1,660	830,000

Tax Credits (Finance Act section 7)

CREDIT	ZWL	US$
Elderly	450,000	900
Physically and mentally	450,000	900
Blind	450,000	900

Pension Funds

Contributions to pension funds by the employer are allowable subject to restrictions:

Pension Fund other than a RAF	ZWL 1,500,000
RAF	ZWL 1,500,000
Aggregate Maximum	ZWL 1,500,000

Pension Funds Summary

INCOME	AGE OF TAXPAYER	EXEMPT PORTION	SUPPORTING LEGISLATION
Commutation from RAF	<55	1/3 of Commutation	8(1)(n)
Commutation from Pension Fund (PF) including RAF	>55	Whole amount is exempt	S14(1) a.r.w 3rd Schedule p6(h1)
Commutation of PF or CRF excluding RAF not due to of Retrenchment	<55	No exemption – whole amount is taxable	8(1)(r)
Retrenchment package (severance pay, gratuity or similar benefits on employment cessation due to retrenchment)	No age limit	The greater of 5,000,000 (USD10,000) or 1/3 of up to 18,750,000 (USD37,500)	Section 14(1) a.r.w 3rd Scheule p4(p)

TAX RATES

Individual Tax on Trade & Investment Income

Tax rate – 24 %

Add. AIDS Levy of 3% on Income tax chargeable after tax credits.

Companies

Basic Income Tax Rate – 24%

Manufacturing company exporting at least:

- 30% of output (by quantity or volume) – 20%
- 41% of output (by quantity or volume) - 17.5%
- 51% of output (by quantity or volume) - 15%

Mining companies – 24%

Special mining lease companies – 15%*

Plus 3% AIDS levy (This levy applies only on basic Income, Mining income and Special mining lease company.

Loans

In USD$

The deemed benefit per annum is calculated at the rate of LIBOR plus 5% of the amount of the loan. The LIBOR rate for 2019 and beyond is assumed at 1% unless stated otherwise in the scenario/required.

In ZWL$

For loans received in ZWL, there will only be a benefit if the loan is above ZWL$8,000 and if the interest rate is above 15%. Therefore, the interest benefit would be the difference of the interest rate given and 15%.

Capital Allowances

Maximum deemed costs to be used in determining capital allowances. 4th Schedule

Asset	Deemed Cost (USD)	Deemed Cost (ZWL)	Paragraph
PMV	10,000	1,300,000	14(1)
Staff House (Actual Cost not to exceed $3,250,000)	25,000	12,500,000	1(q)
School, clinic, hospital and nursing homes	10,000	5,000,000	15(3)

Special Mining Operations (ITA 22nd Schedule)

Asset	Deemed Cost (USD)	Deemed Cost (ZWL)	Paragraph
Residential Unit erected on or after 1stJanuary 2018 used for housing the holder's employees.	25,000	12,500,000	6 (2)(f)(v)
Passenger motor vehicle purchased on or after 1stJanuary 2009	10,000	5,000,000	6 (2)(g)(v)
Residential unit used by employees at the school, hospital, nursing home or clinic	10,000	5,000,000	6 (2)(h)(ii)

Rates of capital allowances

1. Special Initial Allowance (SIA) – 25%

   Accelerated Wear and Tear – 25%

2. Wear and Tear on:
   - Industrial buildings – 5%
   - Farm Buildings – 5%
   - Commercial buildings – 2.5%
   - Motor Vehicles – 20%
   - Movable assets (general rate) – 10%

Capital Gains Tax (Finance Act Section 38)

Type of Asset	Date Acquired	Rate
Listed Marketable Securities	N/A	Exempt
Unlisted Marketable Securities	Before 22/02/2019	5% (On gross proceeds)

Unlisted Marketable Securities	After 22/02/2019	20%
Immovable Properties	Before 22/02/2019	5% (on Gross Proceeds)
Immovable Properties	After 22/02/2019	20% after the deductions

Capital Gains Withholding Tax on Sales Proceeds (Finance Act Section 39)

Immovable Property	After 22/02/2019	15%
Immovable Property	Before 22/02/2019	5%
listed marketable securities	N/A	1% (final tax)
Unlisted marketable securities	After 22/02/2019	5%
Unlisted marketable securities	Before 22/02/2019	5%

Other Withholding Taxes (Finance Act)

Description	Rate	Section
On contracts without a tax clearance certificate	30%	
Residential Shareholder's tax from listed Entities	10%	17(a)
Residential Shareholder's tax from Other Entities	15%	17(b)
Non-Resident Shareholders' tax (listed entities other than on the VFSE)	10%	15(a)
Non-Resident Shareholders' tax (Unlisted Entities)	15%	15(c)
Non-Resident Shareholders' tax (Entities listed on the VFSE)	5%	15(b)
Non-Residents' tax on Fees	15%	19
Non-Residents' tax on Remittances	15%	20
Non-Residents' tax on Royalties	15%	21
Residents' tax on Interest (For Loans with a fixed term deposit and a tenure of at least 90 days)	5%	22(a)
Residents' tax on interest (Others)	15%	22(b)

VAT

VAT rate is 15%

Deferment of VAT Threshold increased from US$500,000 to US$1,000,000 for importation of capital goods in specified industries effective from 1 January 2023.